CLOSING STATEMENT

Heritage Station District | St. Louis, MO

Property	Heritage Station District
Settlement Date	November 4, 2021
Buyer	Granite Lane Realty
Seller	Lakeside Family Partnership
Sale Price	$7,150,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$7,150,000			
Earnest money deposit		$53,866	$53,866	
Real estate tax proration	$63,399			$63,399
Rent proration			$66,795	
Security deposits assumed	$63,527	$63,527		
Prepaid rents			$56,620	$56,620
Owner's title policy premium	$10,761			
Lender's title policy premium		$55,367	$55,367	
Escrow fee	$30,918			$30,918
Recording fees			$3,371	
Transfer tax	$20,158	$20,158		
Survey			$12,849	$12,849
Legal fees - Buyer	$26,466			
Legal fees - Seller		$42,740	$42,740	
Broker commission	$15,098			$15,098
Loan origination fee			$2,443	
Lender legal	$35,033	$35,033		
Appraisal fee			$38,902	$38,902
Environmental report	$15,385			
Property condition report		$31,867	$31,867	
Tax escrow deposit	$51,981			$51,981
Insurance escrow deposit			$27,604	

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$7,150,000			
Legal fees - Seller		$30,857	$30,857	
Broker commission	$1,848			$1,848
Loan origination fee			$23,741	
Lender legal	$8,280	$8,280		
Appraisal fee			$34,049	$34,049
Environmental report	$38,132			
Property condition report		$34,390	$34,390	
Tax escrow deposit	$46,920			$46,920
Insurance escrow deposit			$19,386	
Replacement reserve deposit	$16,706	$16,706		
Utility deposits			$57,704	$57,704
Assumed vendor contracts credit	$62,760			
Tenant improvement credit		$10,950	$10,950	
Courier / wire fees	$52,309			$52,309
Municipal certificates			$41,356	
Purchase price	$11,020	$11,020		
Earnest money deposit			$28,038	$28,038
Real estate tax proration	$12,544			
Rent proration		$53,429	$53,429	
Security deposits assumed	$25,163			$25,163
Prepaid rents			$11,870	
Owner's title policy premium	$70,194	$70,194		
Lender's title policy premium			$22,247	$22,247
Escrow fee	$19,164			
Recording fees		$31,134	$31,134	
Transfer tax	$60,836			$60,836
Survey			$54,184	

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Valuation Discussion

Operating expenses totaled $465,000 or approximately 22.38 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period.

Effective gross income for the trailing period was $131,000, representing a 5.8% increase over the prior year. The going-in capitalization rate of 7.85% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Income and Expense Review

The going-in capitalization rate of 7.88% reflects the in-place income and the stabilized occupancy assumption. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. Management fees are calculated at 6.4% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is walkable to transit, with 5 structured parking spaces shared between uses.

Effective gross income for the trailing period was $297,000, representing a 2.4% increase over the prior year. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The going-in capitalization rate of 6.15% reflects the in-place income and the stabilized occupancy assumption. The project combines ground-floor retail and restaurant space with upper-level residential and office components. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Valuation Discussion

Operating expenses totaled $67,000 or approximately 6.39 per square foot, with real estate taxes representing the largest line item. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Effective gross income for the trailing period was $262,000, representing a 6.9% increase over the prior year. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Effective gross income for the trailing period was $312,000, representing a 5.4% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.8% over the hold period. The going-in capitalization rate of 6.78% reflects the in-place income and the stabilized occupancy assumption.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$7,150,000			
Tenant improvement credit		$28,299	$28,299	
Courier / wire fees	$59,964			$59,964
Municipal certificates			$9,586	
Purchase price	$34,774	$34,774		
Earnest money deposit			$70,042	$70,042
Real estate tax proration	$69,903			
Rent proration		$13,634	$13,634	
Security deposits assumed	$46,602			$46,602
Prepaid rents			$8,286	
Owner's title policy premium	$7,396	$7,396		
Lender's title policy premium			$27,590	$27,590
Escrow fee	$5,350			
Recording fees		$35,872	$35,872	
Transfer tax	$37,781			$37,781
Survey			$34,254	
Legal fees - Buyer	$70,223	$70,223		
Legal fees - Seller			$21,770	$21,770
Broker commission	$16,867			
Loan origination fee		$66,498	$66,498	
Lender legal	$4,507			$4,507
Appraisal fee			$66,188	
Environmental report	$15,966	$15,966		
Property condition report			$11,758	$11,758
Tax escrow deposit	$31,302			
Insurance escrow deposit		$43,261	$43,261	
Replacement reserve deposit	$13,650			$13,650
Utility deposits			$17,451	

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Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period. The property is walkable to transit, with 34 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Debt service coverage ratio was 5.09x on a trailing basis against a covenant minimum of 1.20x.

Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. Percentage rent and CAM reimbursements are tracked separately for the commercial component. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $44,000, representing a 4.5% increase over the prior year. Operating expenses totaled $119,000 or approximately 43.75 per square foot, with real estate taxes representing the largest line item.

Financial Analysis

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Effective gross income for the trailing period was $14,000, representing a 5.1% increase over the prior year. The property is walkable to transit, with 30 structured parking spaces shared between uses. Debt service coverage ratio was 8.04x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.18% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period.

Percentage rent and CAM reimbursements are tracked separately for the commercial component. The going-in capitalization rate of 7.96% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $190,000, representing a 5.7% increase over the prior year. The property is walkable to transit, with 24 structured parking spaces shared between uses. Operating expenses totaled $170,000 or approximately 26.82 per square foot, with real estate taxes representing the largest line item.

Valuation Discussion

Operating expenses totaled $139,000 or approximately 33.01 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. Effective gross income for the trailing period was $343,000, representing a 5.7% increase over the prior year. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The going-in capitalization rate of 7.00% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. Operating expenses totaled $220,000 or approximately 24.63 per square foot, with real estate taxes representing the largest line item.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$7,150,000			
Recording fees		$13,765	$13,765	
Transfer tax	$23,142			$23,142
Survey			$35,488	
Legal fees - Buyer	$8,042	$8,042		
Legal fees - Seller			$30,163	$30,163
Broker commission	$49,772			
Loan origination fee		$63,744	$63,744	
Lender legal	$42,391			$42,391
Appraisal fee			$14,959	
Environmental report	$43,755	$43,755		
Property condition report			$61,088	$61,088
Tax escrow deposit	$15,585			
Insurance escrow deposit		$70,167	$70,167	
Replacement reserve deposit	$42,752			$42,752
Utility deposits			$37,637	
Assumed vendor contracts credit	$36,316	$36,316		
Tenant improvement credit			$58,801	$58,801
Courier / wire fees	$64,073			
Municipal certificates		$10,715	$10,715	
Purchase price	$22,655			$22,655
Earnest money deposit			$16,347	
Real estate tax proration	$2,354	$2,354		
Rent proration			$53,485	$53,485
Security deposits assumed	$66,075			
Prepaid rents		$2,790	$2,790	
Owner's title policy premium	$52,117			$52,117
Lender's title policy premium			$32,717	

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Valuation Discussion

Debt service coverage ratio was 5.22x on a trailing basis against a covenant minimum of 1.20x. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Management fees are calculated at 6.4% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Net operating income is projected to grow at a compound annual rate of 3.0% over the hold period. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Effective gross income for the trailing period was $18,000, representing a 9.2% increase over the prior year. Operating expenses totaled $159,000 or approximately 39.88 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Financial Analysis

Management fees are calculated at 7.6% of collected revenue and are included in operating expenses. The property is walkable to transit, with 48 structured parking spaces shared between uses. Debt service coverage ratio was 7.52x on a trailing basis against a covenant minimum of 1.20x. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Effective gross income for the trailing period was $403,000, representing a 9.4% increase over the prior year.

Operating expenses totaled $433,000 or approximately 25.92 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $59,000, representing a 11.0% increase over the prior year. The going-in capitalization rate of 7.49% reflects the in-place income and the stabilized occupancy assumption. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period.

Operating Performance

Operating expenses totaled $216,000 or approximately 32.28 per square foot, with real estate taxes representing the largest line item. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Debt service coverage ratio was 6.19x on a trailing basis against a covenant minimum of 1.20x. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The property is walkable to transit, with 17 structured parking spaces shared between uses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Debt service coverage ratio was 7.26x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $220,000 or approximately 30.98 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The going-in capitalization rate of 7.49% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses.

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Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Tax escrow deposit	$7,150,000			
Insurance escrow deposit		$23,582	$23,582	
Replacement reserve deposit	$9,991			$9,991
Utility deposits			$59,607	
Assumed vendor contracts credit	$18,897	$18,897		
Tenant improvement credit			$43,546	$43,546
Courier / wire fees	$13,744			
Municipal certificates		$46,047	$46,047	
Purchase price	$5,335			$5,335
Earnest money deposit			$26,495	
Real estate tax proration	$37,645	$37,645		
Rent proration			$13,162	$13,162
Security deposits assumed	$14,969			
Prepaid rents		$12,700	$12,700	
Owner's title policy premium	$14,125			$14,125
Lender's title policy premium			$30,184	
Escrow fee	$39,295	$39,295		
Recording fees			$43,512	$43,512
Transfer tax	$17,176			
Survey		$45,508	$45,508	
Legal fees - Buyer	$7,102			$7,102
Legal fees - Seller			$12,954	
Broker commission	$25,299	$25,299		
Loan origination fee			$38,036	$38,036
Lender legal	$57,849			
Appraisal fee		$16,809	$16,809	
Environmental report	$68,352			$68,352
Property condition report			$40,160	

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